

**IN THE SUPREME COURT OF BANGLADESH  
HIGH COURT DIVISION  
(CIVIL APPELLATE JURISDICTION)**

**First Appeal No. 126 of 2012**

**With**

**First Appeal No. 70 of 2012**

**With**

**Civil Rule No. 473(f) of 2012**

In the matter of:

Md. Shirajul Islam Mollah

..... appellant.

-Versus-

Sonali Bank Limited

..... respondents.

Mr. Shah Md. Munir Sharif, Advocate

....for the appellant.

Mr. M. Khaled Ahmed, Advocate

.... for the respondent.

**Judgment on: 10.05.2018.**

Present:

Mr. Justice Mamnoon Rahman

And

Mr. Justice Ashish Ranjan Das.

**Mamnoon Rahman, J:**

Both the appeals as well as Rule were heard together and disposed of by a single judgment as they do involve similar question of fact and law though the petitioners are different.

Both the appeals are directed against the judgment and decree dated 03.01.2012 (decree signed on 08.01.2012) passed by the Artha Rin Adalat, 1<sup>st</sup> Court, Dhaka in Artha Suit No. 159 of 2006 decreeing the suit in part so far relates to the appellant.

The facts relevant for the disposal of the present appeals is that the respondent Sonali Bank instituted Artha Rin Suit No. 159 of 2006 in the Court of Aratha Rin Adalat No. 1, Dhaka impleading as many as 12 defendants including the appellant for realization of money advance by the bank on the application of defendant No. 1 which is a limited company the bank extended credit facilities time to time where as defendant No. 2 is the Managing Director of the defendant No. 1 company and 3, 4 are directors defendant No. 5-12 are mortgager and also executed personal guarantor however, when the defendant company failed to credit facilities on repeat request the bank initiated proceeding under section 12 of the Artha Rin Adalat Ain for sale of the mortgage before filling of the suit by virtue of the irrevocable power of attorney and subsequently on 15.06.2004 the property was sold and the money was adjusted with the dues of the bank and since the defendant failed to repay the remaining balance the bank file the suit.

The defendant Nos. 11 and 12 contested the suit by filling written statement denying all the materials allegation made in the plaint the case of the defendant Nos. 11-12 are that their neither share holder or director of the company they just put their property as mortgage as a 3<sup>rd</sup> party which was sold by the before filling of the suit and adjusted the loan since there is no condition for furnishing person guarantee in the sanction letter the said

neither executed nor provide any personal guarantee, as such, their liability dissolved with the sale of the property.

The trial Court proceed with the suit as framed as many as three issues during trial the plaintiff adduce one witness while the defendant Nos. 11-12 adduce one witness the plaintiff also adduce documentary evidences with mark as exhibit- 1-23. The trial court after hearing the parties and facts and circumstances vide impugned judgment and decreed the suit against which the defendant No. 12 preferred the instant appeals.

The bank also filed appeal against the judgment and order on the plea that the Court while passing the judgment found that defendant Nos. 11-12 are responsible for certain amount instead of full liability.

Mr. Shah Md. Munir Sharif, the learned Advocate appearing on behalf of the appellant submits that the Court below without appealing its judicial mind and without considering the facts and circumstances most illegally and in an arbitrary manner passed the impugned judgment and decree so far it relates to defendant No. 12 is illegal and without lawful authority. He further submitted that admittedly the respondent No. 12 was are 3<sup>rd</sup> party mortgager of the loan and the bank exercising the power conferred under section 12 of the Artha Rin Ain sole the property in auction even before filling of the suit and adjusted the amount with the loan liability and as such the liability of defendant No. 12 ended with satisfaction but the Court below fail to considering the same and decreed

against the defendant No. 12. He further submits that though there was no considering for providing personal guarantee in the sanction letter as well as the present appellant neither executed nor furnish any personal guarantee the Court below ought to have released him. He further submits that the plaintiff miserably fail to produce or prove any personal guarantee before the trial Court which clearly shows that the present appellant has been dragged into the case without any lawful basis as such the appeal is liable to be allowed so far it relates to the appellant.

Mr. M. Khaled Ahmed, the learned Advocate appearing for the appellant/respondent bank for appeal No. 70 of 2012 as well as appeal No. 126 of 2012 vehemently opposes the appeal, he submits that the trial court on proper appreciation of the facts and circumstances evidence both oral and documentary decreed the suit which requires no interference by this Court he submits that admittedly the present appellant executed mortgage deed and though the property was sold it cannot be said that his liability is being dissolved as much as he executed personal guarantee to cover the entire liability as such the appeal is liable to be dismissed with cost.

We have perused the impugned judgment and decree passed by the trial Court, memorandum of appeals, Lower Court Records and heard the learned Counsels for the contesting parties. On perusal of the same, we transfer that the defendant bank instituted a suit for recovery of money in the Court of Joint District Judge and Artha Rin Adalat No. 1, Dhaka being

Artha Rin Case No. 159 of 2006 impleading the as many as 12 defendants including the appellant namely defendant No. 12. On perusal of the paper and documents it transpires that the basic loan was availed by the defendant No. 1 and defendant Nos. 2-4 are the Managing Director and Director's/Shareholders of the company in question. It also transpires that the other defendants are either 3<sup>rd</sup> party mortgagors or guarantors of the loan in question. It further transpires that on different occasions the bank made advances by way of credit facilities to the company and also there were renewals and enhancements. It further transpires that the borrower failed to adjust the loan facilities resulting which the bank file the suit. However its also found that during trial both the parties adduced oral evidences while the plaintiff-respondents adduce documentary evidence.

It also appears that when the loan become due the bank issued legal notices and also approached the borrower company to settled the loan and since they failed to do so the bank invoked the provisions of section 12 of the Artha Rin Adalat Ain, 2003 wherein the property of defendant Nos. 11-12 were sold on auction and the money was adjusted with the loan but ultimately in the suit the said defendant Nos. 11-12 were implicated as principle defendants. It also appears that apart from defendant Nos. 11-12 no other defendants contested the suit in the trial Court. The said contesting defendants categorically stated that they never executed any personal

guarantee in favour of the bank. The trial Court while adjudicating the same held as follows:

“(প্রদর্শনী-১২) হইতে (প্রদর্শনী-১২ (ট) অর্থাৎ ১২ টি ব্যক্তিগত জামানত নামা পর্যালোচনায় দেখা যায় যে, ২ হইতে ১০ নং বিবাদীগণ ১ নং বিবাদী কর্তৃক ঋণ গ্রহণের বিষয়ে ব্যক্তিগত গ্যারান্টি প্রদান করিয়াছে।”

So it appears that the Court found that defendant Nos. 2-10 executed personal guarantee in favour of the bank not the defendant Nos. 11-12.

On perusal of the paper and documents it also appears that the bank claimed that the defendant Nos. 11-12 also executed personal guarantee but the same was illegally removed from the record by the said defendants in convenience with the court staff which is a ridiculous proposition and wild allegation against the Court of law when the trial Court categorically stated about the personal guarantee of defendant Nos. 2-10. It also transpires the bank adduced photo-copy of the personal guarantee executed by defendant Nos. 5-12 but which is not duly proved before the trial Court. The Court below came to a conclusion which runs as follows:

“বাদী ও ১১/১২ নং বিবাদী (প্রদর্শনী-১৩) এ ১১/১২ নং বিবাদীর স্বাক্ষর হস্তরেখা বিশারদ দ্বারা পরীক্ষা/ প্রমানের জন্য আবেদন করে নাই। (প্রদর্শনী-১৩) ১১-১২ নং বিবাদী সম্পাদন করে নাই মর্মে অস্বীকার করায় এবং ১১/১২ নং বিবাদী অন্য কোন জিম্মানামা সম্পাদন না করায় (প্রদর্শনী-১৩)



তথা ২০/১/২০০০ ইং তারিখের ব্যক্তিগত জামানত নামা ১১/১২ নং বিবাদী

সম্পাদন করিয়াছে মর্মে প্রমান হয় নাই।”

So it appears that the trial Court while passing the decree categorically came to a conclusion that there is no personal guarantee executed by the defendant Nos. 11-12 and they are mere 3<sup>rd</sup> party mortgagor and their property has already been sold on auction.

It further appears that the trial Court came to a conclusion than since the defendant No. 11-12 executed mortgage as 3<sup>rd</sup> party they are liable for certain portion of loan despite sale of their properties mortgage with the bank and on meticulous perusal of the Lower Court Records it appears from the sanction letters which were marked as exhibit- 2-2(ga) that there are no such conditions stipulated for obtaining personal guarantee from the present appellant defendant No. 12. Exhibit-13 clearly shows that the same is a fabricated document and there is no necessary to obtain 2<sup>nd</sup> personal guarantee by a same person namely 2-10 as it transpires that defendant Nos. 2-10 have already executed separate personal guarantees and the exhibit- 13 is a mere photo-copy and was not duly proved.

While deciding the case in favour of the bank by implicating the defendant Nos. 11-12, the Court below came to a conclusion that since the defendant Nos. 11-12 executed Mortgage Deed Power of Attorney he is liable for the additional amount despite sale of the properties which is not at all tenable in the eye of law. In the absence of duly executed and proved

personal guarantee a 3<sup>rd</sup> party mortgagors cannot be implicated or make responsible for the entire/additional loan and specially where the properties of the 3<sup>rd</sup> party mortgagors has already been exhausted by auction sale exercising the provision of section 12 of the Artha Rin Adalat Ain, 2003. In the absence of the duly executed personal guarantee and also absence of any specific clause in the sanction letters there is no scope to say that the present appellant is bound to repay the remaining amount fully a penalty to the bank.

Hence, we find substance in this appeal. The judgment and decree passed by the trial Court so far it relates to appellant-defendant No. 12 are hereby set aside. However, the judgment and decree passed by the trial Court so far it relates to defendant Nos. 1-10 are hereby maintained. The Court below is hereby directed to return pay-order submitted by the appellant-defendant Nos. 1-12 vide Miscellaneous Case No. 48 of 2007 within 60(sixty) days from the date of receipt of this order.

Accordingly, The Appeal No. 126 of 2012 is allowed, the Appeal No. 70 of 2012 is dismissed however, without any order as to cost and the Civil Rule No. 473(f) of 2012 is accordingly disposed of.

Send down a copy of this judgment alongwith Lower Court Records to the concerned Court below immediately.

***Ashish Ranjan Das, J:***

I agree.